

FMC Docket 24-21

PKDC, LLC v. CMA CGM, S.A.

RESPONDENT'S REPLY BRIEF

UNRESTRICTED – PUBLIC VERSION

CONFIDENTIAL MATERIALS REDACTED

**BEFORE THE
FEDERAL MARITIME COMMISSION**

PKDC, LLC,	)	
Complainant,	)	
v.	)	
CMA CGM S.A.,	)	
Respondent	)	

DOCKET NO. 24-21

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RESPONDENT’S REPLY BRIEF

Respondent CMA CGM S.A. (“CMA CGM”), through counsel, hereby responds to the opening brief of complainant of PKDC, LLC (“Complainant” or “PKDC”) in this proceeding.

I. INTRODUCTION AND SUMMARY OF ARGUMENT

This case arises out of a service contract between Complainant, PKDC, LLC (“PKDC”), a U.S. importer, and CMA CGM, an ocean carrier. The parties signed a contract (assigned number 21-2947) (hereinafter, the “Service Contract”) under which PKDC agreed to ship and CMA CGM agreed to transport 4,000 twenty-foot equivalent units (“TEUs”)(or 2,000 forty-foot equivalent units (“FEUs”)) of cargo from various foreign countries to the United States during the period from March 19, 2021, through April 30, 2022.¹

PKDC alleges that CMA CGM failed to provide sufficient vessel space to fulfill its contractual commitment to PKDC and sought to impose on PKDC rates and charges in excess of

¹ Given that the conduct herein at issue occurred prior to June 16, 2022, the changes made to the Shipping Act of 1984 by the Ocean Shipping Reform Act of 2022 (which became law on June 16, 2022) are not applicable to this proceeding. Discussion herein of the relevant statutory provisions is based on the law in effect prior to June 16, 2022.

Oath set forth in the Service Contract. PKDC alleges that these purported failures of CMA CGM to adhere to the terms of the Service Contract violate several different provisions of the Shipping Act of 1984, as amended (the “Act”).² PKDC’s arguments are flawed and should be rejected in full.

As threshold legal matter, PKDC’s allegations relating to CMA CGM’s alleged failure to fulfill the Service Contract are a breach of contract claim over which the Commission lacks jurisdiction. Moreover, PKDC waived any such claims when it voluntarily and willfully agreed to amend the Service Contract to reduce the Minimum Quantity Commitment (“MQC”). As a result of the amendment, CMA CGM fulfilled its obligations under the Service Contract as a matter of law.

To the extent PKDC’s claims under Section 41102(c) of the Shipping Act are based on any alleged failure to fulfill the Service Contract, Section 41102(c) applies only to terminal and forwarding-related activities, not to the transportation of cargo. With regards to PKDC’s claims that detention charges violate Section 41102(c), these too should be denied because PKDC fails to adduce the shipment-specific evidence required to sustain such a claim.

In addition to the fatal legal flaws set forth above, PKDC’s case simply does not hold water. Much of the “evidence” central to its claims date from periods before or after the term of the Service Contract and cannot sustain the weight PKDC places on it. For example, its arguments about CMA CGM’s alleged policy with respect to the fulfillment of the MQC of service contracts are based on a 2020 memo from American President Lines, an entirely separate ocean carrier whose policies did not and do not influence the policies of CMA CGM and whose policies cannot

² PKDC’s Complaint alleges violations of Sections 41102(c), 41104(a)(2), 41104(a)(9) and 41104(a)(10). Complaint at 10-11. The 41104(a)(9) claim was dismissed by the Presiding Officer’s December 20, 2024 Order Partially Granting Partial Motion to Dismiss.

be attributed to CMA CGM. If either party in this proceeding considered the MQC of a service contract non-binding, that party was PKDC, which contracted with more than ten ocean common carriers and NVOCCs for an aggregate minimum volume of 20,000 TEUs (10,000 FEUs), far in excess of its projected volume of 11,500 TEUs (5,750 FEUs), showing that PKDC never intended to fulfill its contractual obligations.

Other “evidence” is mischaracterized or misunderstood, taken out of context, or conveniently ignored. For example, a spreadsheet to which PKDC cites in support of its contention that certain customers received priority access to vessel space includes volumes from trade lanes not covered by the Service Contract and contains data which contradicts PKDC’s conclusions. In short, a closer examination of relevant evidence demonstrates that CMA CGM’s conduct was reasonable.

While PKDC attributes any and all difficulties in booking cargo to CMA, the evidence also shows that PKDC’s booking procedures were ill-defined, poorly understood, and that PKDC’s suppliers frequently made errors that resulted in bookings not being accepted. For example, PKDC’s suppliers attempted to book cargo volumes in excess of the projections agreed upon by PKDC and CMA CGM, despite PKDC’s corporate witness testifying that PKDC knew such bookings would be rejected.³

Finally, even assuming arguendo that the Commission has jurisdiction and that PKDC has met its burden of proof with respect to one or more allegations (neither of which is the case), PKDC is not entitled to reparations. The sole support for PKDC’s reparations claim is the Grafton Declaration, which should be excluded because it was not produced in discovery. Moreover, the reparations claim is not adequately supported by proper evidence. In addition, PKDC failed to

³ Grafton Depo., 29:22-24, APP850.

mitigate its alleged damages and has not proven damages with reasonable certainty. Finally, PKDC's claim for double damages is not supported by applicable law.

In light of the foregoing, PKDC's remaining claims should be denied, and the Complaint should be dismissed in full.

II. RESPONSE TO PKDC'S PROPOSED FINDINGS OF FACT

CMA CGM's response to PKDC's proposed findings of fact are set forth in Exhibit #1 hereto.

III. CMA CGM'S PROPOSED FINDINGS OF FACT

CMA CGM's proposed findings of fact are set forth in Exhibit #2 hereto.

IV. ARGUMENT

A. The Applicable Legal Standard

In proceedings before the FMC, the complainant has the burden of proving that the respondent violated the Act by a preponderance of the evidence. 5 U.S.C. § 556(d) ("Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof."); 46 C.F.R. § 502.203. The complainant must provide "an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true." *AHL Shipping Co. v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05 (ALJ June 13, 2005).

B. The Commission Lacks Jurisdiction Over Counts I, III, and V Of The Complaint⁴

Counts I, III, and V of PKDC's Complaint are based in whole or in part on the allegation that CMA CGM failed to provide all the vessel space it committed to furnish. These allegations are breach of contract claims rather than Shipping Act claims. Accordingly, to the extent these

⁴ In the Complaint, Count I alleges a violation of Section 41102(c), Count III a violation of Section 41104(a)(2), and Count V a violation of 41104(a)(10). In PKDC's brief, Count V of the Complaint is renumbered as Count IV, owing to the dismissal of Count IV of the Complaint. All of these alleged violations are based on CMA CGM's alleged failure to provide space and/or an imposition of higher rates and/or additional charges.

claims assert an alleged failure to provide vessel space, the Commission lacks jurisdiction over them, and they should be dismissed.

Section 40502(f) of the Shipping Act, 46 U.S.C. 40502(f), states:

Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.

Therefore, if PKDC's claims under Counts I, III, and V are breach of contract claims (which they are), these counts should be dismissed.

The Presiding Officer relied on the Commission's decision in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635 (2000) in denying Respondent's motion to dismiss Count I. Order Partially Granting Partial Motion to Dismiss (ALJ December 20, 2024). However, since that time, the U.S. Court of Appeals for the District of Columbia Circuit expressly left open the question of whether the Commission's interpretation of § 40502(f) in *Cargo One* comports with the terms of the Shipping Act. *MSC Mediterranean Shipping Company S.A. v. Federal Maritime Commission*, 141 F. 4th 222, 233 (D.C. Cir. 2025). For the reasons set forth below, it does not.

As an initial matter, *Cargo One* does not articulate any legally meaningful test. The "test" established by *Cargo One* is the following:

We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not

support such a claim, that the matter is appropriately before the agency.

28 S.R.R. at 1645 (internal footnotes omitted). However, the foregoing “test” is nothing more than a statement of the obvious: the Commission has jurisdiction over Shipping Act claims and does not have jurisdiction over breach of contract claims. It provides no real guidance as to how to go about distinguishing the two types of claims, essentially allowing the Commission the freedom to make subjective decisions about which cases it will hear and which it will not. *See Motor Vehicle Mgrs. Ass’n v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29, 57 (1983) (an agency must provide an adequate explanation and “reasoned analysis” for its decisions).

The leeway the Commission has granted itself by adopting a “test” free of any objective criteria has resulted in the Commission asserting jurisdiction over any and all complaints that allege a Shipping Act violation, without examination or consideration of the underlying facts to determine if the claim is in fact a breach of contract claim.⁵ In short, if the complaint is cast in Shipping Act terms, it will survive a motion to dismiss even if, as in this proceeding, an alleged breach of a service contract is at the heart of the complaint.

In its *Cargo One* decision, the Commission criticized the practice of determining the nature and basis of a claim based solely on the language of the complaint itself, suggesting that jurisdiction should not turn on the language in the complaint. 28 S.R.R. at 1644. The fact that *Cargo One*, as written and as applied, perpetuates the problem of reliance on the language of the pleadings rather than eliminating that problem further demonstrates that *Cargo One* does not articulate any meaningful “test.”

⁵ The Commission has gone so far as to find jurisdiction on the basis of a complaint that was slavishly copied from a complaint in another, unrelated proceeding. *MSRF, Inc. v. HMM Co., Ltd.*, 8 F.M.C.2d 258, 263 (ALJ 2024).

Even if *Cargo One* does articulate a test, there are three fundamental legal problems with the *Cargo One* “test” and the manner in which it has been applied. The first is that the Commission ignores its own requirement that the complainant rebut the presumption that a claim is a breach of contract claim. As noted above, the Commission accepts allegations of Shipping Act claims in a complaint at face value and views mere allegations as sufficient to rebut a presumption that a claim is a breach of contract claim. Thus, the Commission is acting arbitrarily and capriciously by failing to follow the “test” it established in *Cargo One*.⁶

The second legal problem is one of statutory interpretation. It is a fundamental principle of statutory interpretation that the provisions of a statute are to be read in a manner that gives meaning to each and does not render any of them superfluous. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990); *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980). *Cargo One* violates this principle.

The Commission had precisely this principle in mind when it adopted the *Cargo One* “test,” by which the Commission sought to avoid having the strict application of § 40502(f) preclude the Commission from adjudicating legitimate Shipping Act claims that have a similarity to or overlap with a breach of contract claim. 28 S.R.R. at 1644-1645. The problem is that the Commission has overshot the mark. The *Cargo One* “test,” as written and as applied, goes so far in attempting to preserve application of the prohibited acts that it renders § 40502(f) a nullity. Indeed, under the Commission’s current jurisprudence, it is difficult (if not impossible) to imagine a case involving an alleged breach of contract over which the Commission would not assert jurisdiction, provided

⁶ *Greater Boston Television Corp. v. F.C.C.*, 444 F.2d 841, 852 (D.C. Cir. 1970) (“[A]n agency changing its course must supply a reasoned analysis indicating that prior policies and standards are being deliberately changed, not casually ignored, and if an agency glosses over or swerves from prior precedents without discussion it may cross the line from the tolerably terse to the intolerably mute.”).

the complaint couches the allegation in Shipping Act terms. In short, *Cargo One* improperly and unlawfully reads § 40502(f) out of the Shipping Act.

The third fundamental problem with the *Cargo One* “test” is that it ignores a well-established principle of contract law and focuses on the purported reason for the alleged breach of contract rather than on the fact of the breach itself. It is black letter law that the motive for a party breaching a contract is irrelevant:

State of mind plays an important role in tort law. Consider the fundamental divide between negligent and intentional torts. Or consider the standards for punitive damages in tort cases, which ordinarily require intentional or at least reckless wrongdoing. In contract law, by contrast, courts typically do not consider the state of mind of the breaching party. E.g., *Vernon Fire & Casualty Insurance Co. v. Sharp*, 264 Ind. 599, 349 N.E.2d 173, 180 (1976) (“a promisor's motive for breaching his contract is generally regarded as irrelevant”); see generally Oliver Wendell Holmes, *The Path of the Law*, 10 Harv. L. Rev. 457, 458, 462–64 (1897) (anticipating separation “between legal and moral ideas” in contract law). Courts might assume that breaches are deliberate, but ordinarily that does not matter. A breach is a breach, based on objective standards of performance.

Reid Hospital and Health Care Services, Inc. v. Confer Revenue Cycle Solutions, LLC, 8 F.4th 642, 655 (7th Cir. 2021). Congress is presumed to have been aware of this principle of contract law at the time it wrote what is now § 40502(f). *Miles v. Apex Marine Corp.*, 498 U.S. 19, 32 (1990) (“We assume Congress is aware of existing law when it passes legislation.”); *McNary v. Haitian Refugee Ctr., Inc.*, 498 U.S. 479, 496 (1991) (“It is presumable that Congress legislates with knowledge of our basic rules of statutory construction”). Thus, under the plain language of § 40502(f), an allegation based on an alleged breach of contract falls outside the Commission’s

jurisdiction because a breach of contract is a breach of contract, regardless of the reason for the alleged breach.⁷

The Commission, in its efforts to limit the application of § 40502(f), has made the mistake of improperly focusing on the motive for the breach of contract rather than on the fact that the claim is one for breach of contract.⁸ Where § 40502(f) properly deprives the Commission of jurisdiction because the claim is one for breach of contract, the Commission should not do an end run around the plain language of the statute by focusing on the motive for the breach, which is irrelevant to the occurrence of the breach under contract law. The plain language of 40502(f) is clear: unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. There is no caveat or exception based on the reason for the breach. The cardinal rule of statutory interpretation is that where the language of a statute is clear and unambiguous, the court's sole function is to enforce the statute according to its terms. *Lamie v. U.S. Tr.*, 540 U.S. 526, 534 (2004); *Centro de Trabajadores Unidos v. Bessent*, 167 F.4th 1218, 1230 (D.C. Cir. 2026) *citing* *Air Line Pilots Ass'n, Int'l v. Chao*, 889 F.3d 785, 791 (D.C. Cir. 2018).

In addition to the foregoing flaws, the legal infirmity of the *Cargo One* approach is further evidenced by the internal inconsistency of the *Cargo One* decision itself. There, the Commission found that alleged violations of former sections 10(b)(1) and 10(b)(3)(which correspond to current

⁷ Indeed, courts and commentators generally recognize the concept of an efficient breach of contract, i.e., where the breaching party finds it more beneficial to breach the contract than to perform under it. Restatement (Second) of Contracts, Ch. 16, Introductory Note (1981; David W. Barnes, "The Anatomy of Contract Damages and Efficient Breach Theory," 6 S. Cal. Interdisc.L.J. 397, 399 (1998)). In other words, there are times when it is reasonable for a party to breach a contract. This again highlights why the Commission should not continue applying the Shipping Act's reasonableness standard to contractual disputes.

⁸ Even if one attempts to cast the motive for the breach as a "practice," the effect is the same: reading § 40502(f) out of the statute. Moreover, even if that were the proper analysis, for the reasons set forth in Section III.E below, PKDC has not met its burden of establishing a "practice."

41102(a)(2)) were essentially breach of contract claims.⁹ This means that the Commission found that the obligation to adhere to a filed rate is not inherently a Shipping Act issue. In contrast, the Commission held that allegations of violations of then-sections 10(b)(6)(E), (b)(11), (b)(12), and 10(d)(1) were all inherently related to Shipping Act prohibitions and therefore within Commission jurisdiction. That conclusion makes no sense with respect to sections 10(b)(6)(E) and 10(b)(11) which, at the time, did not apply to service pursuant to a service contracts. In other words, in *Cargo One*, the Commission held that it had jurisdiction over claims of violations of Shipping Act provisions that, by their terms, did not apply to service contracts. This anomalous result may demonstrate more clearly than anything the subjectivity and inherently flawed reasoning of the *Cargo One* decision.¹⁰

The gravamen of PKDC's claims under sections 41102(c), 41104(a)(2), and 41104(a)(10) is that PKDC did not secure all the space to which it was entitled under the service contract. Nothing is more quintessentially a breach of contract claim than a claim that a party did not fulfill its core obligation under a service contract. As noted above, the reason for non-performance is irrelevant.

Accordingly, for the reasons articulated, Counts I, III and V – to the extent they allege a failure to fulfill the terms of the Service Contract – should be dismissed for lack of jurisdiction.

⁹ The Ocean Shipping Reform Act of 1998 combined the provisions of the Shipping Act of 1984 originally found in section 10(b)(1) and 10(b)(3) into a new 10(b)(2) which prohibited a common carrier from providing “services, facilities, or privileges, other than in accordance with the rates or terms in its tariffs or service contracts in effect when the service was provided.” S. Rep. 61 (105th Cong. 1st Sess.)(1997) at 27, 69. This prohibition corresponds with what is now 46 U.S.C. § 41104(a)(2).

¹⁰ The jurisprudence in this area has become even more confused of late. In the initial decision in *20230930-DK-Butterly-I, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited*, FMC Docket No. 23-02 (ALJ April 24, 2026), p. 156, the ALJ found that § 41102(a)(2) is not akin to a breach of contract violation, a ruling inconsistent with the Commission's ruling in *Cargo One*. This further demonstrates that *Cargo One* provides no meaningful legal guidance.

C. PKDC Fails To State A Claim Under Section 41102(c) Insofar As The Provision of Space Is Concerned

Because Section 41102(c) of the Act applies only to terminal and forwarding services, and not to the transportation of cargo, it does not apply to the alleged failure to perform under the Service Contract. Thus, the Complaint fails to state a claim for which relief may be granted and should be dismissed.

Section 41102(c) of the Act states:

Practices in Handling Property.- A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

If § 41102(c) prohibited all unreasonable practices, the “relating to or connected with receiving, handling, storing or delivering property” language would be unnecessary. As noted above, statutes should not be interpreted in a manner which renders language superfluous. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990); *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980). Therefore, the concluding phrase of § 41102(c) must be given meaning and viewed as the limitation that it is – this prohibition does not apply to transportation of cargo. Indeed, if Congress had wanted § 41102(c) to apply to the transportation of cargo, it would have placed a period after “practices” and omitted the “relating to or connected with” language.

The Commission has for many years interpreted Section 41102(c) and its predecessor provisions as limited to terminal and forwarding activities. In *Los Angeles By-Products Co., et al. v. Barber S.S. Lines, Inc., et al.*, 2 U.S.M.C. 106 (USMC 1939), the Commission’s predecessor considered the application of the second paragraph of Section 17 of the Shipping

Act, 1916, to charges imposed by carrier for the handling of cargo at U.S. West Coast ports.

The then-Commission quoted Section 17, which read:

Every such carrier (common carrier by water in foreign commerce) and every other person subject to his act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property.

Immediately after quoting the statute, the Commission stated:

This paragraph relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel.

2 U.S.M.C. at 114 (emphasis added). This decision began an uninterrupted and undisturbed line of precedent which limits the application of Section 41102(c) to terminal and forwarding activities.

In *Proposed Rule Covering Time Limit On The Filing Of Overcharge Claims*, 7 S.R.R. 418 (FMC 1966), the Commission opted not to adopt a proposed rule which would have rendered invalid the time limits carriers had established for customers to file overcharge claims. In so doing, the Commission stated:

Finally, the second paragraph of Section 17 of the Shipping Act, 1916, under which the carriers' limitation were alleged to be invalid by our Notice of Proposed Rule Making does not relate to the practices of the type here involved. It relates only to practices "relating to or connected with the receiving, handling, storing or delivering of property," and its application has thus been confined to forwarding and terminal operations.

7 S.R.R. at 425, citing *Los Angeles By-Products Co.*, *supra* (emphasis added). See also, *North River Insurance Co. and Northwestern National Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981) ("Respondent correctly points out that the paragraph relied upon by complainants has expressly been limited to the operations of terminals and forwarders.")

The limited application of Section 41102(c) and its predecessor provisions is discussed in

detail in *Heavy Lift Practices And Charges of Hapag-Lloyd Aktiengesellschaft*, 17 S.R.R. 505, 528-533 (ALJ 1977). In that case, the ALJ considered whether certain carrier practices and charges violated various provisions of the Shipping Act, 1916, including the predecessor of Section 41102(c). The ALJ reached the following conclusion regarding the scope of Section 17:

As Hearing Counsel have noted, at least as early as 1939, the Commission held that Section 17, second paragraph, applied to “services performed at the terminal as distinguished from the carrying or transporting by the vessel.” *Los Angeles By-Product Co. v. Barber S.S. Co. Lines, Inc.*, cited above, 2 USMC at 114.

17 S.R.R. at 529. The ALJ’s conclusions were found to be “proper and well-founded” by the Commission, which adopted them. 18 S.R.R. 1491 (1979).

Heavy Lift Practices And Charges is also instructive because of the position taken by the Commission’s Bureau of Hearing Counsel with respect to the scope of Section 17, which the ALJ described as follows:

Hearing Counsel contend that the Commission had established that the type of practice covered by this particular law does not relate to tackle-to-tackle ocean freight service, i.e., line-haul transportation, but instead refers to so-called terminal services. Terminal services are such activities as carloading and unlading, handling of cargo from place of rest to ship’s tackle and the reverse, and free time and demurrage practices relating to the storing of cargo at the terminal. Hearing Counsel cite *Los Angeles By-Products Co. v. Barber S.S. Lines, Inc.*, 2 USMC 106, 114 (1939), which stated that Section 17, second paragraph, “relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel.” Hearing Counsel contend furthermore that nonterminal activity has been held to fall within the scope of Section 17, second paragraph, only to the extent such activity is performed by a terminal operator or becomes intimately related to terminal operation through the action of a terminal operator...

17 S.R.R. at 529 (citations omitted). Under the foregoing Commission decisions, Section 41102(c) is clearly and expressly limited to terminal and forwarding services.

That Section 41102(c) is applicable only to terminal and forwarding services and not to the transportation of cargo (or, as in this case, the alleged failure to transport cargo) is further confirmed by other Commission decisions. In this regard, the Commission has consistently held that Section 41102(c) does not apply to the transportation of cargo. *See, e.g., J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act, citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (USMC 1949)(section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation).

In denying CMA CGM's motion to dismiss this count of the Complaint, the Presiding Officer cited a number of cases which purportedly applied § 41102(c) to the transportation of cargo. With all due respect, CMA CGM believes the Presiding Officer has misread the holdings of those cases.

Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc. v. United States, 883 F.2d 93 (DC Cir. 1989), involved the lawfulness of certain FMC regulations governing freight forwarders. Freight forwarders do not transport cargo. See 46 U.S.C. § 40101(19). Accordingly, nothing in this decision supports the contention that the predecessor to what is now 41102(c) applied to the transportation of cargo.

American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Commission, 389 F.2d 962 (D.C. Cir. 1968), involved the lawfulness of certain terminal operator practices in connection with loading/unloading trucks and barges under the Shipping Act. As such, the case involved the handling of cargo at terminals, not the transportation of cargo.

Mitsui O.S.K. Lines v. Global Link, 32 S.R.R. 126 (FMC 2011) involved a scheme in which an NVOCC allegedly misled an ocean common carrier about the ultimate inland destination of the cargo. The complainant ocean carrier alleged violations of Sections 41102(a) and 41102(c) of the Shipping Act. The respondent argued that the Commission lacked jurisdiction over inland transportation. The decision held that the FMC has jurisdiction over claims involving the inland transportation of cargo but did not expressly hold that § 41102(c) applied to transportation.

Finally, *Distribution Services, Ltd. v. Transpacific Freight Conference of Japan, et al.*, 24 S.R.R. 716 (FMC 1988) dealt with the lawfulness of transloading allowances for cargo transloaded at a consignee's facility as compared to the allowance for cargo transloaded at a marine terminal. This is a terminal-related issue rather than a transportation related issue. Indeed, the discussion in this decision confirms that the focus of this statutory provision is on terminal-related activity ("As used in Section 17 and as applied to terminal practices, we think that 'just and reasonable practice' most appropriately..."). 24 S.R.R. at 721, citing *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). The decision does not support the conclusion that § 41102(c) applies to the transportation of cargo.

Indeed, much of the conflict between Section 40502(f) and the prohibited acts found in Sections 41102(c) and 41104 results from the overly broad application of Section 41102(c) to the transportation of cargo, an improper application that appears to have emerged following the adoption of the Ocean Shipping Reform Act of 1998, which limited the application of a number of the so-called prohibited acts. If Section 41102(c) were to be applied in accordance with its plain wording, as was the case for most of its history, much of the conflict between it and Section 40502(f) would be eliminated.

D. Counts I, III and V Of The Complaint Should Be Dismissed Because CMA CGM Fulfilled Its Contractual Obligations To PKDC

The gravamen of Counts I, III, and V of the Complaint is that CMA CGM failed to provide all of the vessel space to which PKDC was entitled under the Service Contract. Even if these counts are found to be Shipping Act claims (which they are not) rather than breach of contract claims, they should be dismissed because they are based on a mistaken factual predicate.

It is undisputed that: (i) the Service Contract had an initial MQC of 4,000 TEUs/2,000 FEUs; (ii) the Service Contract was amended prior to its expiration to reduce the MQC to 1,514 TEUs/757 FEUs; and (iii) CMA CGM transported 1,514 TEUs/757 FEUs for PKDC under the Service Contract. PKDC Proposed Finding of Fact (“PFF”) #5 and APP0327.

In light of the foregoing, as a matter of both fact and law, PKDC received all the vessel space to which it was entitled under the Service Contract. Given that PKDC received all the space to which it was entitled under the Service Contract, the factual predicate upon which all three of these Counts are based is false.

The amendment to the Service Contract is legally valid and binding on both PKDC and CMA CGM. First, PKDC was not coerced into agreeing to amend the Service Contract. CMA018290, RX0206.

Second, even though the amendment was not required to be supported by consideration,¹¹ it was so supported. CMA CGM was relieved of an obligation to provide more vessel space and forfeited the right to demand more cargo. PKDC was relieved of potential liability for liquidated

¹¹ *U.S. v. Stump Home Specialties Mfg., Inc.* 905 F.2d 1117, 1121 (7th Cir. 1990)(“The black-letter rule is indeed that a contract may not be modified without consideration. . . . and yet the cautionary, evidential, and other policies behind the requirement of consideration do not apply, or apply only with much attenuated strength, in the context of written modification.”) *A & S Corp. v. Midwest Commerce Banking Co.*, 525 N.E.2d 1290, 1292 (Ind.App.1988); *Wisconsin Knife Works v. National Metal Crafters*, 781 F.2d 1280, 1285 (7th Cir.1986); Farnsworth, Contracts 271–73 (1982).

damages for failing to fulfill the MQC,¹² Grafton Depo., APP0859, 38:7-10¹³ and forfeited the right to the full amount of vessel space to which it would have otherwise been entitled.¹⁴ In other words, by agreeing to an amendment reducing the MQC, PKDC waived its right to make claims based on an alleged failure of CMA CGM to fulfill its contract obligations to provide space, just as a carrier waives its right to claim liquidated damages (or other damages) when an MQC is reduced.

In this regard, it is a common practice to amend service contracts just prior to the contract expiration date to reduce the MQC to the volume shipped.¹⁵ This is most frequently done when the shipper has failed to tender the volume of cargo required, and, to the knowledge of Respondent, the validity of such amendments has not been questioned. An amendment to a service contract to reduce the MQC as a result of a carrier failure to perform is no less valid. Indeed, if PKDC is found to have one or more claims against CMA CGM based on a purported failure to provide space despite the amendment to the MQC of the Service Contract (i.e., if the amendment is disregarded and PKDC is found not to have waived its claims), then presumably carriers that have agreed to amend service contracts to reduce the MQC as a result of shippers' failure to perform would be found not to have waived their claims and could pursue the customers that have agreed to such an

¹² This is particularly relevant where, as here, PKDC had secured contract capacity well in excess of its shipping needs during the term of the Service Contract with over ten VOCCs and NVOCCs and had no intention of fulfilling its contract commitments.

¹³ The fact that PKDC's corporate representative testified that PKDC needed the amendment to avoid liquidated damages undermines PKDC's claims that CMA CGM is liable for reparations. If CMA GM was solely or largely responsible for PKDC's inability to ship the MQC, PKDC would have a defense to any claim for liquidated damages by CMA CGM.

¹⁴ PKDC's argument that the fact the Service Contract did not provide for the payment of liquidated damages by CMA CGM is a non-starter. The inclusion of liquidated damages in a service contract is optional. 46 U.S.C. § 40502(c)(8), and the absence of a liquidated damages clause does not in and of itself relieve a breaching party of liability.

¹⁵ The "practice of reducing MQCs to reflect the volume of cargo actually shipped is consistent with the industry-wide practice in the ocean transportation industry." *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 2014 WL 5316345, at *30 (ALJ April 17, 2014). The Presiding Officer can also take official notice of this fact pursuant to 46 C.F.R. §502.226(a), as all such amendments are on file with the Commission and this fact is within the general knowledge of the Commission as an expert body.

amendment for liquidated damages for breach of contract and/or reparations for a violation of Section 41104(a)(1) based on the shipper deliberately overstating the volume it would ship in order to obtain lower rates.¹⁶

E. CMA CGM's Practices Were Reasonable

An examination of the evidence demonstrates that CMA CGM's practices and regulations were reasonable and that PKDC's attempts to portray it differently are misguided.

1. *There Was No Contractual Obligation To Provide A Fixed Amount of Space On a Weekly Basis*

Nothing in the Service Contract or any of its amendments entitled PKDC to any specific amount of space on any routing on a weekly basis. APP0093 through APP0349. CMA CGM's obligation under the Service Contract was to make adequate space available to move the MQC. APP0100, paragraph 5.A. That same provision disclaims the provision of space on any specific vessel. *Id.* Similarly, PKDC had no obligation to tender any amount of cargo on a weekly basis; its obligation being to tender the MQC over the term of the Service Contract. This is significant in light of PKDC's focus on the alleged non-receipt of its weekly "allocation."

Weekly space and cargo projections aided the parties' respective planning and were not a contractual obligation. It was the common practice, for purposes of the parties' respective planning needs, to divide the MQC of a contract by 52 (weeks in a year) to arrive at a total weekly "allocation." Eouzan Depo., APP1081 at 117:14-25; Grafton Depo., APP0879 at 58:24 through APP0881, 60:3. CMA CGM and the customer would then agree on how the total weekly projection would be divided among the routings covered by the service contract. Eouzan Depo., APP1081, 117:16-25.

¹⁶ An argument that the Commission would have no jurisdiction over a carrier's Shipping Act claim against a shipper on this basis because the claim is one for breach of contract merely reinforces Respondent's argument regarding the lack of Commission jurisdiction over PKDC's claims in this proceeding.

Under paragraph 1.A of the Service Contract, no other understandings of the parties are integrated into the Service Contract. APP0098. Therefore, the administrative understandings between CMA CGM and PKDC with respect to the amount of space that might be made available and/or used on a weekly basis were not part of the Service Contract, and CMA CGM was under no legal obligation to provide any particular amount of space on any particular routing to PKDC on a weekly basis.¹⁷ Accordingly, any alleged failure of CMA CGM to do so is not a breach of the Service Contract nor is it unreasonable in light of the contractual agreement of the parties.

2. *CMA CGM's Policy Was To Pro-Rate Space In Times of Shortage And Evidence To The Contrary Is Not Persuasive*

The weight of the evidence demonstrates that it was CMA CGM's policy to pro-rate space among customers in times of a space shortage. Evidence cited by PKDC to the contrary does not withstand scrutiny.

CMA CGM's policy was to pro-rate space among customers in the event demand exceeded capacity. CMA CGM Reply to PKDC's First Interrogatories, Interrogatory #13 at APP0797; Eouzan Depo., APP0099, 99:10-100:18. Even documents cited by PKDC in support of its argument demonstrate that CMA CGM's policy was to provide space to the extent possible that was equal to or greater than a customer's allocation. For example, PKDC cites the May, 2021, correspondence beginning at APP0479 as evidence of what it claims was CMA CGM's space allocation policy, whereas that email is a direction from the Line Manager—Transpacific West Coast to abide by the allocations to the extent possible in the face of capacity limitations, which allocations are based on the customers' MQC. APP1081, 117:14-25.

¹⁷ PKDC knew that attempting to book cargo volumes in excess of the projections agreed upon by PKDC and CMA CGM would be rejected. APP850, 29:22-24.

Similarly, PKDC's attempts to characterize the policy as being profit-motivated are without merit. PKDC initially cites to two pieces of evidence in support of its argument that CMA CGM's policy was profit-motivated: APP0375 and APP0378. However, the documents in question are emails written by employees of APL in 2020. Emails authored by employees of APL in 2020 do not constitute evidence of CMA CGM's policy in 2021-22. Yet, despite the obvious irrelevance of this communication, PKDC cites it repeatedly throughout its proposed findings of fact and brief.¹⁸

Moreover, the active weekly service contract report on which PKDC relies (CMA146967) in an attempt to suggest that certain customers received preferential treatment with respect to the allocation of space does not help PKDC. As noted in the Supplemental Response of CMA CGM S.A. to PKDC'S Second Document Requests, that report is not limited to trades covered by the Service Contract. RX0261 at Response #8. Thus, there is no evidence that the "additional" space allegedly provided to certain customers was provided in the eastbound trans-Pacific trade generally, or on the routes covered by the Service Contract specifically. In other words, there is no evidence that any of this "additional" space was space which could have been made available to PKDC.

In addition, there are large customers identified as strategic accounts in CMA146967 that had not fully satisfied their MQC as of the date of the spreadsheet. *See, e.g.*, Rows 109-112, 277 and 405. Similarly, of the 6,529 total customers (including PKDC) listed in CMA146990, 6,201 customers out of 6,529 total customers (96.5% of CMA customers identified on the chart), do not have a VIP identifier, showing that PKDC was not singled out or disadvantaged. CMA146990 at tab Feuil3. In addition, many of the accounts listed on CMA146967 are not even listed on

¹⁸ Citing to correspondence from 2020 and/or 2023 is a common practice for PKDC. *See, e.g.*, APP0355-0356; APP0361, APP410-0418, APP0513, and APP061-0687.

CMA146990 (e.g., the customers listed at Rows 109-112, 129, 220, 277 and 405 of CMA146967 are not listed on CMA146990).

All of the foregoing shows there is at best a dubious correlation (if any) between customer ranking and the provision of space. While PKDC claims that a customer ranked as rank 7 was less likely to receive space (PKDC PFF #21), a review of APP0397 shows that rank 7 is unique to a particular customer. A review of CMA146967 shows that the customer in question had a number of service contracts with CMA CGM in 2021-22, and that it was receiving its full allocation under some of those contracts (CMA146967 Rows 150, 288, 293, 860 and 1073) but was not receiving its full allocation under other service contracts (CMA 146967, Rows 292, 294, 303, 726 and 1191). Thus, the connection between ranking and space provision is at best dubious.

This is particularly true with respect to the VIP rankings to which PKDC devotes so much attention. As uncontroverted testimony indicates, VIP rankings were something assigned in one origin country (China) for purposes of allocating equipment. APP1080, 111:18-21; APP0817, Response to Interrogatory #29. All customers had the chance to get equipment, without regard to ranking. APP1080, 110:2-3. And where PKDC cites to purported road blocks to obtaining equipment (APP0519-0523), the evidence shows CMA CGM personnel working diligently to meet PKDC's needs for space and equipment above and beyond its allocation during a chaotic and demanding time. CMA CGM Reply to PKDC PFF #27(d).

Even if PKDC is correct that the VIP rankings in China hindered its access to equipment (which it is not), it should be noted that less than half of PKDC's weekly allocation was from China. CMA CGM Response to PKDC PFF #7. Thus, even if true, the China VIP rankings would at most account for a small percentage of any cargo that PKDC may have been unable to move.

Indeed, far more cargo failed to move due to PKDC's own practices. *See* Section III.F below. In light of these facts, PKDC's arguments with respect to CMA CGM's policy are without merit.

3. *Payment of PSS/SPGO Was Not Coerced*

A portion of PKDC's claim is that it was forced to pay higher rates to obtain space it was entitled to receive at lower rates pursuant to the terms of the Service Contract. The facts do not support PKDC's allegations and in fact show that premium rates were sought primarily, if not exclusively, for space in excess of PKDC's projection and beyond what was contemplated by the parties. Importantly, PKDC willingly and gladly agreed to pay premium rates/surcharges in these circumstances.

CMA CGM honored the contract rates for space within PKDC's weekly projection. For example, in November of 2021, CMA CGM agreed to accept cargo in excess of PKDC's projection and explained that cargo within the projection would be at regular contract rates but that the rates would be higher for cargo in excess of the projection. PKDC's response was "Yes please :)".¹⁹ CMA Bates 074243, RX0204. On other occasions, PKDC offered to pay additional freight for additional space. For example, in September of 2021, when informed that PKDC's projection had already been filled, one of PKDC's suppliers sought approval to book under Sea Priority with CMA CGM, and PKDC approved the request. PK00047193, RX0021. There is nothing unreasonable about one party to a commercial contract seeking additional compensation for service beyond what is contemplated by a contract.

PKDC also willingly agreed to pay a Peak Season Surcharge for cargo moving in excess of its projection. For example, in late June of 2021, PKDC sought additional space from CMA CGM from a number of origins. CMA CGM offered additional space, the rates for which would

¹⁹ CMA CGM understands "(:)" to be an emoticon expressing happiness, and PKDC has not disputed same despite characterizing its situation at the time as coerced and dissatisfied.

be subject to a Peak Season Surcharge. PKDC's response was "Thank you very much these will be great." Bates CMA001011, RX0143. In August of 2021, PKDC even went so far as to issue a blanket approval for its suppliers to book using Sea Priority under all of its carrier contracts.²⁰ PK71599, RX0058.

Not only did CMA CGM honor its commitment to provide space at the rates set forth in the Service Contract, CMA CGM also provided space in excess of projections at contract rates. For example, CMA CGM regularly provided space out of Malaysia in excess of PKDC's projection. Bates CMA133626, RX0211.

PKDC alleges it was forced into paying higher rates in order to obtain space. This plea should fall on deaf ears. The evidence cited in the preceding paragraphs shows CMA CGM honored rates for space both within and beyond projections and that PKDC willingly agreed to pay premium rates/surcharges for additional space. Moreover, this is not a case of David vs. Goliath in which PKDC can claim it had no choice. After all, PKDC is part of a company with 331 stores in 31 states and is the largest cash buyer of furniture and the largest direct mattress retailer in the U.S. PKDC PFF #1. As a sophisticated commercial entity, PKDC decided to agree to pay the rates and charges it paid, even repeatedly agreeing to amend the Service Contract rates. It had alternatives – it could have shipped with one of the many other VOCCs with which it had service contracts (CMA PFF 16 to 41), with one of the NVOCCs with which it had contracts (CMA PFF 42 to 55), or it could have insisted on the rates to which it had agreed and pursued a claim for a breach of contract if the Service Contract was not honored. With those options available, PKDC

²⁰ Sea Priority GO is a CMA CGM value-added product offering that allows customers to purchase guaranteed space on a specific vessel/sailing in exchange for payment of a premium on top of their ocean freight rates. APP0818, Response to Interrogatory #29.

nonetheless willingly agreed to the rates and charges it paid. Accordingly, this portion of PKDC's claim should be denied.

4. *Some Deviation From Strict Pro Rata Allocation Of Space Is Permissible*

CMA CGM does not dispute that when cargo demand exceeds capacity, current law generally requires a common carrier to obtain more space or to pro-rate available space among its customers. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 1990 WL 427466 at *32 (FMC October 19, 1990). While that obligation is simple enough to state in the abstract, what it means in practice is a different story. For example, does the pro-ration apply to the total MQC across the full term of a contract? If so, what are implications if the shortage of space occurs during the middle of a contract term? Is the MQC pro-rated without reference to how much cargo has been shipped, or a does a customer who has already fulfilled the MQC or a substantial portion of the MQC get no or little space as compared to a customer who has fulfilled a lesser percentage of its MQC? Or is the pro-ration applicable on a per sailing or per port-pair basis? If so, what happens if (as is often the case), one customer does not use its full, pro-rated allocation from a particular port? What happens if a shipper threatens to file a complaint with the FMC when a VOCC cannot provide all of its contractual space? Must a VOCC then provide that customer with space or face the possibility of punitive damages if that shipper is not prioritized to the detriment of other shippers?

All of the foregoing questions merely highlight the fact that pro-rating space among customers is more complex in practice than acknowledged by the decisions imposing that obligation. Therefore, CMA CGM suggests that an allocation of space during a period of time in which cargo volume exceeds available capacity can be reasonable without necessarily being a mathematically precise pro-ration of that capacity.

This suggestion is bolstered by the fact that, as a legal matter, business factors are considered by the Commission when making determinations of reasonableness. *See, e.g., World Shipping Council v. Federal Maritime Commission*, 171 F.4th 410, 420-21 (D.C. Cir. 2026)(information on business decisions relevant to establishing reasonable refusal to deal; Commission acknowledged that failure to consider relevant business factor would be arbitrary). Thus, assuming *arguendo* that CMA CGM did in fact take into account rate levels when allocating space (which CMA CGM denies), the consideration of that business factor and the others considered by CMA CGM (global and trade lane cargo volumes, equipment type, fulfillment of past customer requests, volume of idle equipment customer possesses in the U.S.)²¹ does not necessarily render CMA CGM's decision unreasonable.

5. *CMA CGM'S Profitability (Or Lack Thereof) Is Not Relevant*

PKDC, in what can only be considered a meritless *ad hominem* attack, suggests CMA CGM's conduct was unreasonable because CMA CGM was profitable. However, it is well-established that profitability (or lack thereof) has no bearing on the reasonableness of the conduct at issue. *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, FMC Docket No. 22-30 (ALJ April 22, 2025) at p. 69 ("Moreover, SEA's general financial analysis regarding ZIM's revenue and net profit is not evidence that these practices were unreasonable.") Accordingly, this argument should be disregarded in its entirety.

F. To Extent Space May Not Have Been Provided, This Is Largely Attributable To PKDC

Contrary to PKDC's suggestion that it has no responsibility for the non-carriage of cargo, the evidence shows that errors and omissions on the part of PKDC and/or its suppliers were a significant factor in cargo not moving under the Service Contract.

²¹ APP0811, Response to Interrogatory #32; APP0817, Response to Interrogatory #29.

Before addressing the details of PKDC's failures, it is necessary to consider briefly PKDC's obligations. Despite PKDC's own admissions that its projected need for space was only 11,500 TEUs (5,750 FEUs) for the 2021-22 period, PKDC signed contracts committing it to ship 20,000 TEUs (10,000 FEUs): 11,500 TEUs (5,750 FEUs) with vessel-operating carriers and contracts committing it to ship 8,500 TEUs (4,250 FEUs) with NVOCCs. CMA PFFs 10-11. Therefore, based on its own calculations, PKDC over committed to CMA and other VOCCs and NVOCCs by nearly 50%. Thus, when PKDC makes the unsubstantiated claim that it was ready, willing and able to ship the 4,000 TEUs it committed under its contract with CMA CGM, it is measuring with the wrong yardstick. In reality, PKDC knew that it would never fulfill all of its contractual obligations. Unsurprisingly, despite its projections being "spot on," PKDC did not fulfill the MQC of any of its service contracts with vessel operators (CMA PFF 36, 41), and fulfilled its commitments to only one NVOCC. CMA PFFs 42-55. What was PKDC's plan for the 8,500 TEUs/4,250 FEUs for which it contracted and did not project to ship? And why did PKDC regularly permit its suppliers to ship with other NVOCCs or under their own contracts, including more than 4,320 TEUs worth of cargo – well over a third of its volume during the term of the Service Contract – instead of working to satisfy its MQC commitments with VOCCs like CMA CGM? APP1136-1137; PK0047030 at 47031 and PD0047079, RX0005 and RX0012. PKDC hardly comes to the table with clean hands.

With the foregoing context in mind, an examination of the record shows that PKDC's booking process was flawed, poorly managed, and resulted in errors that prevented cargo from moving.

In mid-August of 2021, nearly five months into the term of the Service Contract, PKDC was preparing a memo [REDACTED]

[REDACTED] PK00046835, RX0002. This memo makes clear that PKDC [REDACTED]

[REDACTED] The fact that [REDACTED]

[REDACTED]. In either case, this memo is indicative of a poorly managed supply chain.

It appears the memo did little to clarify matters, as suppliers were raising questions about the booking process thereafter. CMA133760, RX0216; PK00071004, RX0043. Even in March of 2022, [REDACTED] PK00071447, RX0052. And, despite efforts to standardize the booking process and to use a portal to expedite the approval of bookings, that process was still not working in April of 2022, near the end of the contract, when Bill Smith of [REDACTED] wrote:

[REDACTED]

PK00047100, RX0017.

To make matters worse, Step 2 of the memo instructs suppliers to [REDACTED] [REDACTED]. It is hardly reasonable to expect CMA CGM to provide space on routings for which PKDC did not indicate it might want space. In short, PKDC built into its standard booking procedure a step which would almost certainly result in rejected bookings. CMA PFFs 56-63.

In further indication of the chaotic state of PKDC's booking procedures and supply chain management, in August of 2021, the PKDC employee authoring the standard booking procedure

[REDACTED] PK00063496,
RX0034.

In addition to the fundamental systemic problems in PKDC's booking process, the conduct of PKDC and its suppliers frequently led to cargo not moving. Specifically:

- PKDC's suppliers frequently attempted to book cargo in excess of PKDC's projections, resulting in 882 TEUs (441 FEUs) not moving. Ewan Aff., APP0821, ¶ 8.
- PKDC's suppliers frequently attempted to book cargo before the booking period for a particular vessel opened, resulting in 1,426 TEUs (713 FEUs) not moving. *Id.*, ¶ 7.
- Bookings for 546 TEUs (273 FEUs) were cancelled by PKDC or its suppliers. *Id.*, ¶ 9. There are at least two examples of PKDC suppliers cancelling bookings when space was available. PK00047657, RX0026, and PK00047681, RX0031. Although in both cases the booking was made with [REDACTED] an NVOCC, these examples show that PKDC was not in control of the booking process.
- Bookings for 226 TEUs (113 FEUs) were unsuccessful because the bookings were attempted for a routing that did not exist. For example, a supplier attempted to book cargo for transport to Aurora, NC, rather than Aurora, CO. CMA037594, RX0159.

The volume of cargo not moved for the reasons described in the bullet is 3,080 TEUs (1,540 FEUs), a volume in excess of the 1,243 FEUs that PKDC claims it was forced to ship with NVOCCs due to CMA CGM's conduct. Accordingly, PKDC's attempt to lay all blame at the feet of CMA CGM must be rejected.

Not only was booking an issue, but in late July of 2021, PKDC [REDACTED]
[REDACTED] PK00073229, RX0064. PKDC's lamentations about CMA CGM not monitoring its own performance are the pot calling the kettle black.

In light of the foregoing, there is an insufficient factual basis upon which to conclude that CMA CGM's conduct was unreasonable.

G. Count III Should Be Dismissed To The Extent It Relates To An Alleged Failure To Provide Space

Count III of the Complaint, which alleges a violation of Section 41104(a)(2), should be dismissed to the extent it relates to an alleged failure to provide space.

Section 41104(a)(2), which makes it unlawful for a common carrier such as CMA CGM to:

(2) provide service in the liner trade that is—

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title;

PKDC's claims under the foregoing statute should be denied for two reasons.

First, if *Cargo One* is valid law and applicable here then, as noted above, the Commission in *Cargo One* held that claims under the predecessor of this provision were inherently breach of contract claims over which it did not have jurisdiction. 28 S.R.R. at 1645. On this basis alone, the Commission lacks jurisdiction over a 41104(a)(2) claim based on an alleged failure to perform under a service contract.

Second, PKDC fails to identify a single container that was transported at rates other than those in the service contract or a single charge assessed against PKDC that was not set forth in the service contract or CMA CGM's tariff. Indeed, PKDC has expressly conceded, as it must, that when rate adjustments were agreed upon, they were reflected in amendments to the service contract. Complaint ¶ 34. PKDC's only allegations with respect to § 41104(a)(2) are that CMA CGM purportedly coerced payment of PSS and SPGO, and that CMA CGM purportedly offered

to accept PKDC cargo if PKDC paid higher rates. Even if these allegations are true (which they are not), the alleged conduct is not prohibited by § 41104(a)(2), which merely requires that service be provided in accordance with the rates and charges set forth in a service contract or tariff.

In this regard, the predecessor of Section 41104(a)(2) was Section 10(b)(1) of the Shipping Act of 1984. As originally adopted, that section made it unlawful for a carrier to:

Charge, demand, collect or receive greater, less, or different compensation for the transportation of property or for any service in connection therewith than the rates and charges that are shown in its tariffs or service contracts.

Public Law 98-237 (March 20, 1984). The present wording of 41104(a)(2) was adopted in 1998. Public Law 105-258 (October 14, 1998). The 1998 amendments deleted the “demand” language, narrowing the scope of the prohibition to make it clear that the only conduct prohibited by this section of the Act is the provision of service at unfiled/unpublished rates. Since PKDC has not identified a single shipment transported on terms and conditions that were not filed in a service contract or published in a tariff, its 41104(a)(2) claim should be denied.

H. PKDC Fails To State A Claim Under Section 41104(a)(10)

PKDC fails to state a claim under Section 41104(a)(10), the current version of which makes it unlawful for a carrier such as CMA CGM to:

unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.

However, the version of Section 41104(a)(10) in effect prior to June 16, 2022, which is applicable in this proceeding, merely made it unlawful for a common carrier to:

unreasonably refuse to deal or negotiate.

Here, CMA CGM did not refuse to deal or negotiate with PKDC, unreasonably or otherwise.

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002), aff’d *New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002)(emphasis added). More recent decisions confirm that an unreasonable refusal to deal necessarily involves imposition by a common carrier of an unreasonable impediment to a shipper’s access to common carriage. *MSRF, Inc. v. HMM Co. Ltd.*, Docket No. 22- 20, 2023 WL 8242695 (ALJ Nov. 22, 2023), citing *Supplemental Notice of Proposed Rulemaking*, 88 Fed. Reg. at 38791.

PKDC does not argue that CMA CGM engaged in a “shut out,” and the Complaint acknowledges that CMA CGM transported cargo for PKDC. Complaint, ¶ 23. Instead, PKDC alleges that CMA CGM did not provide all of the space it was required to provide under the Service Contract. At most, PKDC alleges a breach of the contract, not a refusal to deal.

Moreover, as discussed above, the record shows that CMA CGM provided PKDC with extra space on multiple occasions and ultimately fulfilled the entire 1,514 TEU/757 FEU MQC of the Service Contract. In furtherance of PKDC’s relationship with CMA CGM, PKDC entered into a contract with CMA CGM for 2022-2023 and negotiated rates to its own benefit when market conditions favored shippers. CMA027182, RX0137.. Accordingly, PKDC has failed to demonstrate that CMA CGM engaged in an unreasonable refusal to deal or negotiate, and PKDC’s Section 41104(a)(10) claim should be denied.

I. PKDC Fails To Make The Evidentiary Showing Required With Respect To The Reasonableness of Detention Charges

Because PKDC fails to make the required evidentiary showing with respect to detention charges, its claim for reparations with respect to such charges should be denied.

In *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 24-10, the ALJ ruled:

Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable.

Initial Decision at 22 (March 24, 2025). That decision was not appealed and was not reviewed by the Commission on its own motion. Under FMC regulations, an initial decision that is not appealed by or reviewed by the Commission on its own motion automatically becomes the decision of the Commission. 46 C.F.R. §502.227(a)(3). Accordingly, by operation of law, under the Shipping Act, a complainant is required to demonstrate the unreasonableness of each charge on a shipment-by-shipment basis.

The decision in *TZ SSE Buyer* has been followed in subsequent decisions. For example, in *Samsung Electronics America, Inc. v. SM Line Corporation*, FMC Docket No. 23-01, the administrative law judge (“ALJ”) held:

The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue.

Initial Decision at 50 (May 28, 2025). Similarly, in *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, FMC Docket No. 22-30, the ALJ found:

SEA has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges. SEA has not established that ZIM charging demurrage and detention on store-door delivery with carrier haulage was an unreasonable practice, therefore, these facts do not support a 41102(c) violation.

Initial Decision at 70 (April 22, 2025).

PKDC has made no effort to establish the alleged unreasonableness of detention charges on a container-by-container basis. It merely cites some correspondence from a motor carrier about alleged problems at a Union Pacific facility and claims entitlement to reparations of almost \$900,000. Given PKDC's failure to meet its evidentiary burden with respect to this portion of its claim, the reparations for detention charges should be denied.

J. PKDC Is Not Entitled To Reparations, Much Less Double Reparations

1. *The Grafton Declaration Is Inadmissible*

PKDC's sole support for the amount of its reparations claim is the Grafton Declaration. However, that Declaration was not produced in discovery and should not be admitted into evidence.

Discovery in this matter closed on April 10, 2026. Order Granting Joint Motion to Further Extend Scheduling Deadlines, March 27, 2026. The Grafton Declaration and its supporting documentation were provided to Respondent for the first time when PDKC served its initial brief on May 26, 2026. By failing to produce the Grafton Declaration prior to the close of discovery, PKDC denied CMA CGM the ability to conduct discovery with respect to its contents.²²

²² Ms. Grafton was deposed as a corporate representative on April 10. Had the Declaration been served before that date, counsel for CMA CGM would have had an opportunity to include questions about the Declaration in that deposition.

In the past, at least one ALJ has indicated that sworn statements from persons not identified as witnesses that are not produced during discovery are subject to exclusion. *Hapag-Lloyd AG and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09 (Initial Decision, April 22, 2022) at p. 5. Here, although Ms. Grafton was listed as a potential witness, the fact remains that the failure to produce her Declaration during discovery defeats the purpose of discovery. Accordingly, it should be excluded and PKDC's claim for reparations denied for lack of evidence.

The Grafton Declaration is also inadmissible as evidence of the rates PKDC allegedly paid to NVOCCs. Under the Federal Rules of Evidence, the content of a writing is to be proven by introduction of the original or a duplicate of that writing. FRE 1002 and 1003. Alternative evidence of the content of a writing is admissible only in limited circumstances, none of which are applicable here. FRE 1004. While the Commission does not adhere to the same strict rules of evidence as federal courts, it should not accept as evidence a declaration of an average rate differential when PKDC has failed to introduce PKDC's contracts with NVOCCs as evidence of the rates applicable to the carriage of cargo under those contracts.

2. PKDC Failed to Mitigate Its Damages

PKDC's claim for reparations should also be denied due to PKDC's failure to mitigate its damages.

PKDC's position is clear: the 1,243 FEUs not shipped with CMA CGM were all shipped with NVOCCs. PKDC Brief at 25. Yet, as CMA CGM has demonstrated, PKDC had service contracts with five other ocean carriers ([REDACTED]). CMA PFFs 16, 20, 24, 30, 33. PKDC did not fulfill the MQC of any of those service contracts. CMA PFF 36. Most importantly, PKDC has not shown that it made any effort to ship any of the 1,243 FEUs allegedly not carried by CMA CGM with any of those other carriers under the existing

contracts, most if not all of which covered routings similar to the Service Contract at comparable rates. CMA PFF 94.

Assuming *arguendo* that CMA CGM breached the Service Contract (which CMA CGM denies), then PKDC was under a duty to mitigate its damages. *Sade v. Staley*, 212 F. Supp. 631, 632 (D.D.C. 1963) ("It is well established as a fundamental and elementary principle that a person who is injured by a breach of contract must take reasonable steps to mitigate his damages.") The non-breaching party's obligation to mitigate damages requires the non-breaching party to seek a reasonably priced, comparable alternative. *Inova Health Care Servs. v. Omni Shoreham Corp.*, 172 F.4th 895, 900 (D.C. Cir. 2026). In this instance, the reasonably priced, comparable alternative was the use of PKDC's service contracts with the VOCCs mentioned in the preceding paragraph, which were already in place. PKDC does not allege, much less prove, that it attempted to book any cargo allegedly rejected by CMA CGM with any other carrier. When the non-breaching party fails to take steps to mitigate damages, any damages award is to be reduced by the amount any additional costs which could have been reasonably avoided. *Ford Motor Co. v. EEOC*, 458 U.S. 219, 231 n.15 (1982); *CapitalKeys, LLC v. Dem. Rep. Congo*, 278 F. Supp. 3d 265, 288 (D.D.C. 2017). Here, that means that, at most, PKDC is entitled to the difference between the rate in the Service Contract and the rates in the service contracts between PKDC and each of the other carriers, not the difference between the Service Contract rates and the rates charged by the NVOCCs.

In this regard, the only evidence in the record of rates payable to other carriers (VOCCs and NVOCCs) by PKDC is PK00070978, [produced in native format] which shows that the rates for other VOCCs moving cargo from the three ports which represent 40% of PKDC's volume was the same as CMA CGM's rate. CMA PFFs 92-95. Thus, if PKDC had chosen to ship with the

other VOCCs with which it had contracts rather than with NVOCCs, it would have suffered little or no damage. Accordingly, as a result of PKDC's failure to mitigate damages by selecting the comparable, reasonably priced alternative, it should not be awarded any reparations.

Even if use of NVOCCs is considered to be a comparable, reasonably priced alternative (which it was not), the average difference between CMA CGM's rate from the three ports which represent 40% of PKDC's volume and the NVOCC rates from those same ports was \$853.60 per FEU. CMA PFFs 92, 95. If PKDC is awarded reparations, those reparations should be capped at a maximum of \$853.60 per FEU, the highest rate differential supported by admissible evidence.

In addition, it should be noted that PKDC shipped a considerable amount of cargo with NVOCCs with which it did not have a contractual relationship. Just as PKDC had unfulfilled contracts with VOCCs, it failed to fulfill most of its contracts with NVOCCs. CMA CGM PFF 14. To the extent the use of NVOCCs with which PKDC did not have contracts resulted in the payment of higher rates than would have been payable to NVOCCs or VOCCs with which PKDC had contracts, PKDC once again failed to mitigate its damages and any reparations should be reduced accordingly.

3. *PKDC Has Failed to Establish Proximate Cause and to Prove Damages With Reasonable Certainty*

PKDC's claim for reparations should be denied because PKDC fails to meet the standard of proof required for an award of reparations.

Under the Shipping Act, the Commission is to "direct the payment of reparations to the complainant for actual injury caused by a violation" of the Act. 46 U.S.C. § 41305(b). "Actual damages" are damages recoverable "as compensation for the actual loss or injuries sustained" due to the violation of the Shipping Act. *Cal. Shipping Line, Inc. v. Yang Ming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990). Complainants alleging Shipping Act violations must prove

those damages by reasonable certainty in order to recover. *See, Rose Int'l, Inc. v. Overseas Moving Network*, 29 S.R.R. 119, 187 (FMC 2001) (“Complainant must prove with ‘competent evidence’ that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” (citing *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991))). Although mathematical precision is generally not required to prove damages with reasonable certainty, the complainant must nonetheless provide evidence sufficient to support a reasonable inference of the accuracy of their losses. *See, MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, 5 F.MC.2d 109, 114 (FMC 2022). Accordingly, while damages need not be proven by absolute mathematical precision, an award of damages based on calculations that are unreliable or merely speculative would be improper. *See Rose Int'l* at 187. PKDC’s claim does not meet this standard as interpreted by the Commission and its predecessors.

With respect to proximate cause, even if CMA CGM is found to have violated the Shipping Act by failing to provide space to PKDC (which, for the reasons set forth above it should not), PKDC has not met its burden of showing that such failure is the proximate cause of any losses it allegedly suffered. As noted above, PKDC had service contracts with five VOCCs in addition to CMA CGM for 2021-22. CMA PFFs 16, 20, 24, 30, 33. PKDC did not fulfill its cargo commitment under any of those five other service contracts. In light of this fact, and in the absence of any allegation that PKDC even tried to book cargo allegedly refused by CMA CGM with other VOCCs, PKDC cannot meet its burden of showing that any failure by CMA CGM to provide space was the proximate cause of PKDC paying higher rates to NVOCCs to move that cargo.

With regard to the reasonable certainty of PKDC’s alleged monetary damages, in *Eden Mining Co. v. Bluefield Fruit & S.S. Co.*, the Shipping Board (a predecessor to the FMC) found that an exclusive patronage arrangement violated the 1916 Act. 1 U.S.S.B. 41 (1922). Although

the shippers established the amounts they had paid for carriage and the discount they could have obtained under the loyalty arrangement, the Shipping Board declined to award reparations. The Board rejected complainant's contention that "mere proof of the amount by which the rates charged them exceeds those charged contract shippers for identical transportation service ipso facto establishes the fact of their injury and the amount of their damage." *Id.* The proof deemed insufficient in *Eden Mining* is precisely the proof offered by PKDC. Just as it was insufficient in *Eden Mining*, PKDC's support for its claims should be found insufficient here.

4. *An Award Of Double Reparations Would Be Contrary To Law*

If any reparations are awarded in this proceeding, such an award should be limited to actual damages. An award of double reparations would be unlawful.

PKDC concedes, as it must, that there is a presumption against retroactive application of new damages provisions. *Landgraf v. USI Film Products*, 511 U.S. 244 (1994). PKDC's argument that the Ocean Shipping Reform Act of 2022 ("OSRA 22") did not create a new right but merely added Section 41102(c) to the list of statutory provisions which might entitle a prevailing party to double damages ignores applicable precedent and borders on frivolous.

As an initial matter, the Commission has already determined that OSRA 22 does not apply retroactively. *Bakerly LLC v. Seafrijo USA, Inc.*, Dkt. No. 22-17, 2024 WL 4678461 (FMC October 30, 2024)(claims under § 41104(a)(14) and (15) of the Shipping Act properly dismissed because statutory provisions enacted after conduct occurred, and changes to §41104 are not retroactive); *Way Interglobal Network LLC v. Shenzhen Unifelix SCM Limited*, Dkt. No. 22-28, 2024 WL 1741944 (FMC ALJ April 19, 2024)(conduct before the passage of OSRA 2022 is not subject to those amendments).

Even if the issue had not already been decided, PKDC's reading of federal case law is too narrow. Contrary to PKDC's reading, the anti-retroactivity presumption of *Landgraf* applies not

only to new rights but also to statutory changes that “increase a party’s liability for past conduct.” 511 U.S. at 280. Moreover, double reparations involve a punitive element, and retroactive imposition of punitive damages raises a serious constitutional question. *Id.* at 281.

V. CONCLUSION

For the foregoing reasons, PKDC’s claims should be denied and the complaint in this proceeding dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

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Dated: June 25, 2026

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 25th day of June, 2026, the foregoing Respondent's Reply Brief was served via electronic mail on:

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/s/ Wayne R. Rohde
Wayne R. Rohde